

Did Democratization Cause Economic Growth in the Transition States?

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Introduction

Almost three decades since the transition began, the relation between democratization and economic development remains one of the key issues within the study of transition economies. As the countries of Central and Eastern Europe (CEE) and the Former Soviet Union (FSU) moved away from command economies and, in many cases, from authoritarian political systems, there appeared a number of questions on whether democracy was an essential requirement for economic success. Various attempts at answering this question have demonstrated that, in reality, the relationship between democracy and growth is not so linear. Much of the current enthusiasm for linking the two is perhaps more based on ideological beliefs than from empirical evidence. The reason for such optimism among many transition economists is that a linkage between the two variables, if proven, could encourage many more countries to adopt strong democratic structures that match modern notions of political freedom and respect for human rights. While democracy itself might be good in and of itself, the confirmation of such a linkage would strengthen the case for its universal adoption. This essay will first investigate whether there exists any form of relationship between democracy and economic growth through an overview of empirical evidence from the transition economies of CEE and FSU. It will then assess whether democracy can be considered a causal factor in economic growth. Finally, the paper will investigate the nature of this relationship, assessing whether it is direct or indirect, being mediated through other variables such as economic liberalization or the improvement in institutions.

Defining Key Terms

To understand the relationship between democracy and economic growth, it is helpful to first consider the two basic concepts – democracy and economic growth – before any empirical analysis is conducted. The word "democracy" comes from the Greek words demos (people) and kratos (rule). Taken together, these words define a system of government where power is held by the people, who have a say in how decisions are made. By contrast, economic growth is often defined as an increase in the output of goods and services in a country and is a separate category that puts economic performance above political thinking. Since these two ideas derive from different fields, there is no need to conclude, based purely on a definitional standpoint, that democracy has any causal link with economic growth.

Lipset's Law: Growth and Democracy

So, while democracy and growth might not have any definitional connection, the search for a potential connection continues. One of the most famous theories in this debate is Lipset's law, which holds that economic development is a prerequisite for democratic government. As Lipset (1959) argues, wealthier countries are more likely to sustain democratic structures as affluence fosters a larger and better-educated middle class. The more moderate the political orientation of the middle class, the more political stability it

produces. On the other hand, societies that have more poverty are believed to be less susceptible to totalitarian regimes. In Lipset's theory, a country's income level serves as an indicator of its potential for democratic tolerance. It is where "the country is sufficiently rich that it is not a matter of much consequence if some redistribution does occur" that democratic tolerance is formed, according to him (Lipset, 1959, p. 84). That means political parties in wealthier countries are less likely to use more extreme measures to keep control because the stakes are lower to lose office. Empirical evidence from his study, although outdated now, supports these claims. At the time of his study, European nations with high levels of democracy had an average income of \$695, while the average in more authoritarian countries was \$308 (Lipset, 1959). Przeworski and Limongi (1993) build on Lipset's model by providing an example of the strong correlation between per capita income, measured as GNI per capita adjusted for purchasing power parity, and the existence of democratic regimes. In their analysis, Przeworski and Limongi (1993) concluded that per capita income could accurately predict the political system in 77% of yearly cases. That this classification due to random chance only had a likelihood of less than 0.01 further provides strong evidence as to the statistical validity of the interaction between income rates and the type of political order. However, even though Przeworski and Limongi recognized the correlative relationship, an alternative explanation is not well developed for the causation. More recently, researchers have brought other insights into this discussion. Fayad, Bates, and Hoeffler (2012) found a negative association between income and democratic government, positing that economic development under autocratic regimes is not necessarily a determinant of democratization. Although this result adds another layer to the possible interaction between economic development and political systems, it only addresses the question of whether growth promotes democracy rather than the reverse situation. Consequently, the inquiry into whether democracy promotes economic growth remains unanswered, which gives an opportunity for this essay to explore this connection in greater depth.

Democracy, Institutions, and Growth

While the marginal effects of democracy remain under-examined, there is a large body of literature on its indirect effects through the strengthening of institutions. Here, we can return to the definition of democracy, which states that democracy is a political system that outlines how the people should be governed. In this conversation, institutions are directly relevant because they serve as the means for implementing the rules that democracy outlines. So, it can be intuitively understood that democracy and institutions affect each other. In fact, many scholars argue that democratic regimes enable the building of strong institutions, which are in turn necessary for economic prosperity. A prominent advocate of this perspective is Douglass North, who thinks of institutions as the frameworks that define the "rules of the game" (1991, p. 98). He illustrates that democratic societies exhibit a greater propensity to safeguard property rights, as the system of checks and balances inherent in a democracy mitigates the risk of tyrannical seizure of land by individuals in positions of authority. This viewpoint is confirmed by other studies, for example the study carried out by Knack and Keefer (1997). Their analysis shows that there is a positive link between democracy and protection of property rights, which reduces uncertainty for investments and leads to economic growth accordingly. The other way round, this would also indicate that weaker democratic systems and reduced protection for property rights lead to lower performance in economic terms. This hypothesis finds considerable support in the case of Russia, which did experience more drastic economic growth problems than those found in Central and Eastern European countries. In

the aftermath of privatization, ownership of the assets in Russia became highly concentrated in the hands of a few oligarchs. Facing little opposition from the public, these elites, often referred to as the winners of partial reform, instituted the mechanisms that would protect their private interests. One vivid illustration of their influence was their financing of Boris Yeltsin's re-election campaign, which helped to retain the status quo of poor property rights protections (Polishchuk and Savvateev, 2004). Although one case is insufficient to prove the hypothesis – that democratization has an indirect impact on growth – it provides significant verification. This is especially so because Russia is the most powerful economy in the CEE and FSU transition zone. So this means that treating Russia as just another economy in the region would be absurd. Also, the limited number of countries in this area makes the sample size for any analysis quite small and so a case like Russia all the more interesting.

Democracy, Economic Liberalization, and Growth

Another potential indirect causal relationship is the role of economic liberalization as a mediator between democracy and economic growth. Many transition economists argue that democratic systems, with their emphasis on transparency, are better positioned to implement economic liberalization policies. At first glance, this relationship may seem harder to accept than the previous example, where the link between democracy and institutional strength can be intuitively understood, even without empirical evidence. However, empirical studies show that democracy has indeed driven economic liberalization – and, consequently, growth – in both the CEE and FSU regions. One study by Fidrmuc (2001) constructs a residual liberalization index, which isolates the part of economic liberalization that cannot be directly explained by democracy itself. This approach helps us focus specifically on how much of the economic liberalization can be attributed to the influence of democracy. Essentially, this specific framework allows us to perceive with clarity the ways in which democracy plays a significant role in indirectly fostering economic growth through its substantial impact on the process of liberalization. Of course, it is important to note that this particular analysis is predicated upon the assumption that liberalization, in and of itself, is a direct catalyst for economic growth; this premise is one that enjoys broad support within the academic community. Moreover, Granger-causality tests lend further credence to the fact that the relationship flows from democracy leading to liberalization rather than the other way around, as witnessed in the work by Fidrmuc in 2001.

Democracy's Marginal Effect

Contrary to the findings of Fidrmuc (2001), who found that the marginal effect of democracy on economic growth diminishes or even turns negative once controls for economic liberalization are introduced, Gerring (2005) points out a positive marginal effect of democracy on economic development through exploring another possible confounding variable: the stock of democracy. Fidrmuc focuses on liberalization as the key to economic outcomes, whereas Gerring looks at democratic experience as cumulative rather than focusing solely on the current regime type. He suggests that a high level of democracy is associated with an increase in the growth rate. To put this into perspective, we can return to the example of Russia, where the very short and superficial introduction of democracy, followed by the return to authoritarianism, shows just how difficult it is to accumulate democratic capital. These barriers, more deeply rooted in a lacking civic culture, can be attributed to both the Soviet era and the preceding pre-Soviet regime (Persson and Tabellini, 2009). The fact that democratic practices had been missing for

several generations strongly suggests that building democratic norms is a gradual process with substantial time requirements. The lack of democratic experience for several decades has unambiguously hindered the possibility of accumulating this type of capital in Russia, which at least partly explains why, despite being well-endowed with natural resource wealth, Russia struggles to achieve sustained economic growth. Poland is, however, a relevant counterexample to the claim that democratic capital accumulation requires several generations. Like Russia, Poland also faced many obstacles in its early transition to a democratic system of government. Given its history as a Soviet satellite state and its close geographical proximity to Russia, one would think that their trajectory post-transition would be similar. But Poland defied expectations. In its way to consolidate strong institutions and fight against corruption, the country succeeded in accumulating democratic stock at a much faster pace than could be imagined. This proves that democratic stock does not always take decades to develop. Under the right leadership, growth can occur at a faster rate than is often assumed, thereby challenging the belief that overcoming an initial disadvantage in democratic experience is a slow process.

Conclusion

In a nutshell, while there is an identifiable relationship between democratic governance and economic growth, the empirical evidence on causality remains weak, leaving ambiguity about the exact nature of the relationship. One possible indirect link between democracy and growth could be through the channel of economic liberalization where market-oriented reforms promote growth. Another potential indirect relation is the deepening of institutions: democratic regimes tend to give birth to institutions that are instrumental for growth, like protection of property rights. If one narrows the analysis to the transition economies of CEE and FSU, then the causal link between democracy and growth seems to be more pronounced. However, it would be erroneous to generalize this relationship universally to all countries, given the unique conditions that are specific to the CEE and FSU regions. Although the results indicate that democracy can be one of the contributing factors to economic development, it does not, however, imply that this holds universally. It also does not mean that democracy is a necessary condition for economic success, as the examples of East Asia or even some parts of the transition region show.

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